

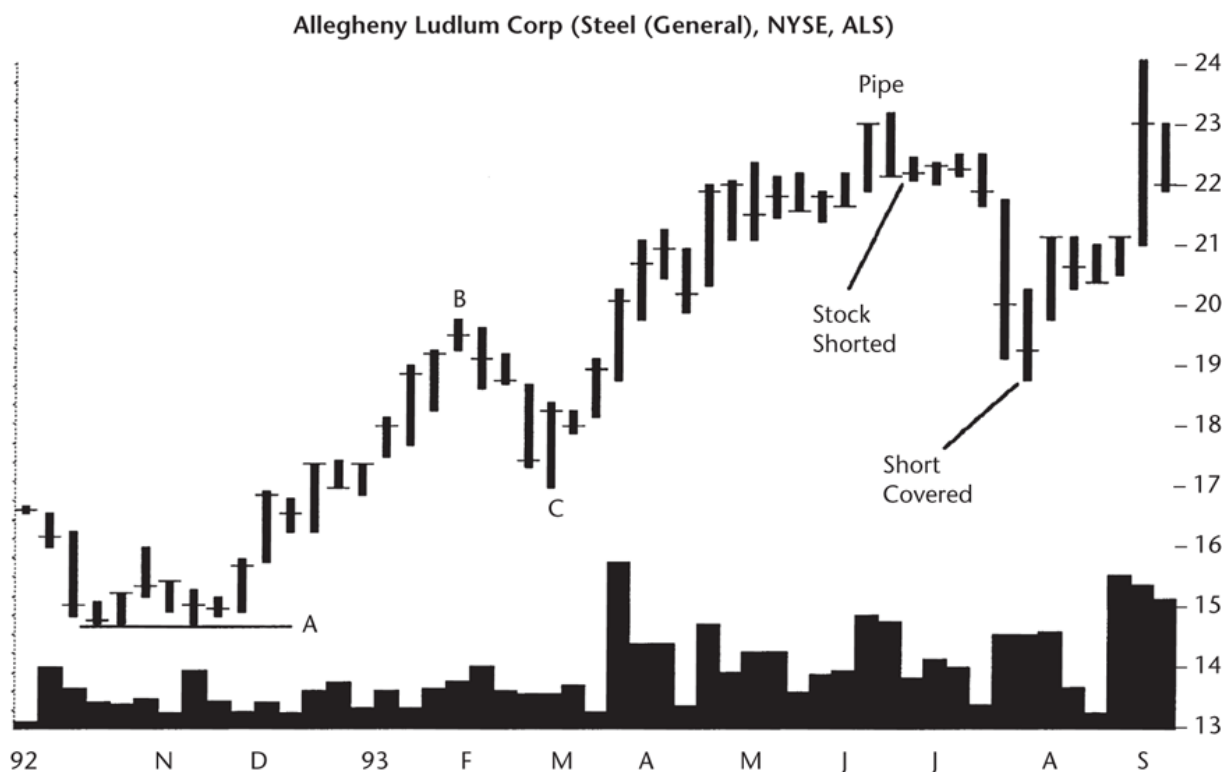


Figure 50.4 This pipe top appeared at the end of a rise–retrace pattern that saw price climb by 35% and fall by 15%. Note: Weekly scale.

“I sold short at 22.25 and put an order to cover if the stock declined by 15% to 19.” On the other side, he placed a mental stop-loss order at 23.25, slightly above the right pipe high at 23.19.

The stock moved horizontally for several weeks and then tumbled. When it reached 19, his short was covered and he made about \$3 a share in 5 weeks. Meanwhile, the stock bottomed out at 18.75, just below his target and an amount similar in size to the earlier retrace.

Lest you get too excited about this rise–retrace type of trade, let me caution you. Although I have used this maneuver profitably, many times things do not turn out quite so neatly. Be careful and make use of stop-loss orders, especially if you are shorting a stock. Search for support zones to help gauge the ultimate decline.